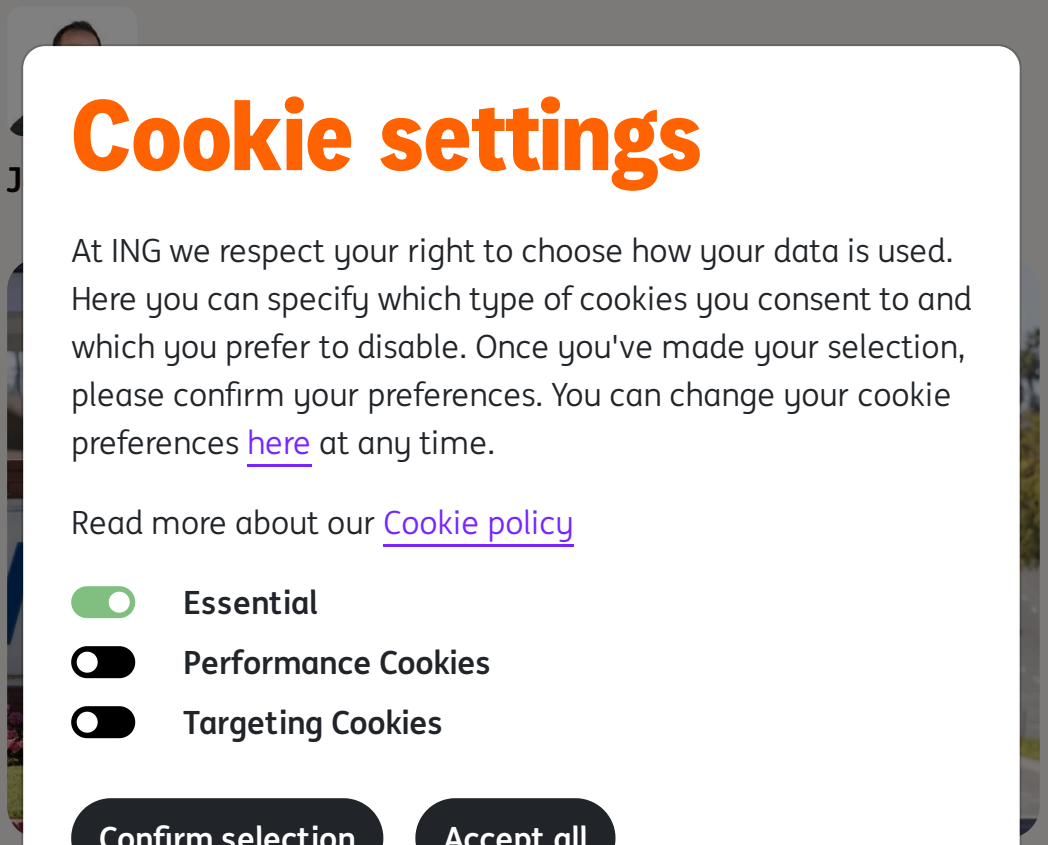
September core inflation was hotter than expected and this has reinforced the view that the Federal Reserve has more work to do to contain price pressures. The risks are skewed towards further policy tightening than we are expecting, but with wage growth looking so benign and the housing market in a weak state, the scope for an eventual reversal is high



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Core inflation rises on shelter, energy, airfares and used vehicles

September headline CPI came in at 0.6%MoM/3.7%YoY, as expected, but core inflation was a touch hotter than anticipated, rising 0.3%MoM/2.6%YoY (0.2%/2.5% was the consensus forecast). We'd suggested we saw slight upside risk to the core figure with the details showing the largest component by weight, shelter, coming in hotter at 0.4% month-on-month after three consecutive softer prints, averaging 0.2% MoM. Airline fares rose 1.2% MoM on higher

fuel costs while the shutdown of Spirit Airlines has removed competition. Meanwhile, used vehicles rose 0.7%, recreation up 0.5% and a 9.1% MoM jump in gasoline prices led the headline index higher. There are pockets of softer price gains, such as food (0.0%), medical care (+0.1%) and education & communication (0.2%), but as the chart below shows, core inflation continues to track too high for comfort with the MoM rates (the blue bars) trending well ahead of the 0.17% MoM black line that we need to average to bring the annual inflation rate down to 2% over time.

US core inflation metrics

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comments from officials, who suggest they are in no hurry to hike after September's 25bp move. Nonetheless, markets have moved sharply with futures contracts putting a 45% chance of an October hike, up from around 20% just ahead of the data.

In terms of the outlook for inflation, much hinges on what happens with the Strait of Hormuz. Refined fuel prices continue to rise and run the risk of feeding through into a broader range of categories. At the same time, the tech/AI data centre roll out is adding to price pressures. That said, Federal Reserve rate hikes will have limited impact on these two price drivers. In any case, the cooling housing

market should translate into softer shelter inflation prints, while a less onerous tariff regime should also help. The key story though, is wage growth, which is the biggest cost input for corporate America. The low hire, low fire economy means there is little turnover in the jobs market, which is highly correlated with wage growth. Wages are currently running at just 3%, with the risk that we see a further slowdown coming through. While bad news for households, this will help to dampen price pressures over the medium to longer term. Right now our forecast is for a December Federal Reserve rate hike before a long pause, but the risks to that view are skewed towards the Fed moving rates even higher before rate cuts come th

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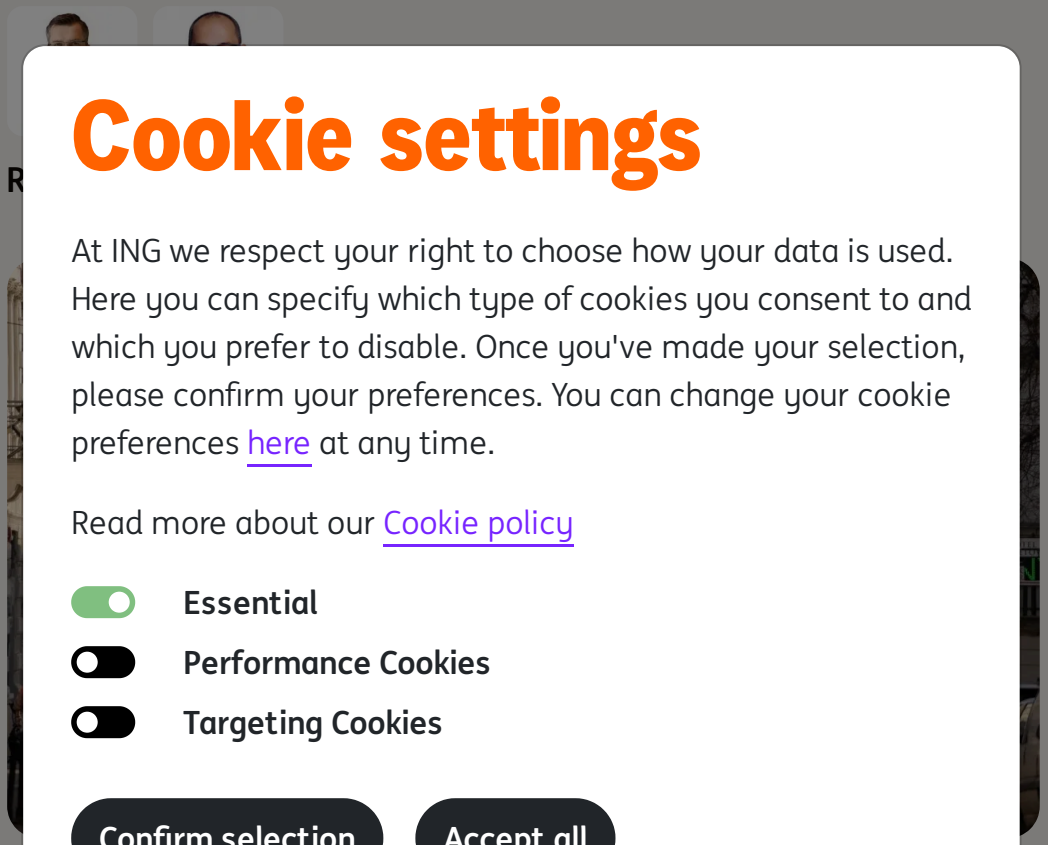
Poland's September inflation was revised up to 4.1% YoY, with energy and fuel prices accounting for roughly 60% of the annual increase. Meanwhile, core inflation even eased, and there is still little evidence that the energy shock is passing through more broadly into other prices. The central bank should not rush to hike interest rates



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Higher energy prices boosted inflation in September

Poland's StatOffice revised its estimate of September CPI inflation to 4.1% YoY from the 4.0% YoY reported previously. Goods price inflation accelerated to 3.6% YoY and services prices slowed to 5.3% YoY, compared with 2.5% YoY and 5.6% YoY respectively in August. Services inflation has fallen to its lowest level in five months, with no evidence of second-round effects.

Price growth continues to be driven primarily by rising energy costs. Compared with August, fuel prices increased by 9.2% MoM, while household energy prices rose by 1.0% MoM, mainly due to higher prices for liquid fuels (+14.7% MoM) and solid fuels (+5.5% MoM), including coal (+7.4% MoM). Higher energy prices contributed around 2.5 percentage points, or roughly 60% of September's annual inflation rate.

Food prices were broadly unchanged (+0.1% MoM), as were prices in core categories. We estimate that core inflation excluding food and energy slowed to around 3.1% YoY from 3.3% YoY in August. The deceleration in services inflation suggests that the energy shock is

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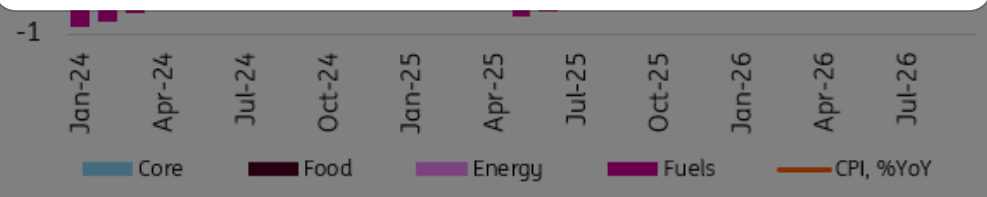

Source: GUS, ING.

Inflation likely to remain around 3.5% YoY in the near term

In the fourth quarter of 2026, CPI inflation is expected to stabilise near 3.5% year-on-year, the upper end of the National Bank of

Poland's (NBP) tolerance band around its inflation target. The main reason is the reintroduction of government fiscal intervention, which reduces excise duties and VAT rates on fuels during the final three months of this year.

In our view, if oil prices remain elevated, the fiscal programme is likely to be extended in the first two months of 2027 despite the challenging fiscal situation. This would help avoid a sharp rise in CPI at the beginning of 2027, when the termination of the programme would otherwise push fuel prices higher. Suspending the scheme in March 2027 would allow this effect to coincide with a high base, generated by the start of the war in 2026, and smooth headline in

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base and more expensive fertilisers.

The MPC can afford to wait, but rate hikes in 1Q27 cannot be ruled out

We believe that, under current conditions, the Monetary Policy Council does not need to rush into tightening monetary policy. The November inflation projection may initiate a discussion about whether interest rate increases are warranted.

In our view, rate hikes could take place in 1Q27, as further months of elevated energy prices increase the risk that the energy shock

eventually spills over into other prices, although the scale of such effects should be much smaller than in 2022-23. We therefore assume that the Council will act pre-emptively and raise rates by a cumulative 50bp, taking the policy rate to 4.25%.

NBP rates | CPI inflation

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The Monetary Authority of Singapore left policy unchanged today. While a lower 2026 inflation forecast and a more balanced assessment of inflation risks point to a less hawkish stance, strong growth and lingering upside inflation risks suggest the tightening cycle may not be over yet

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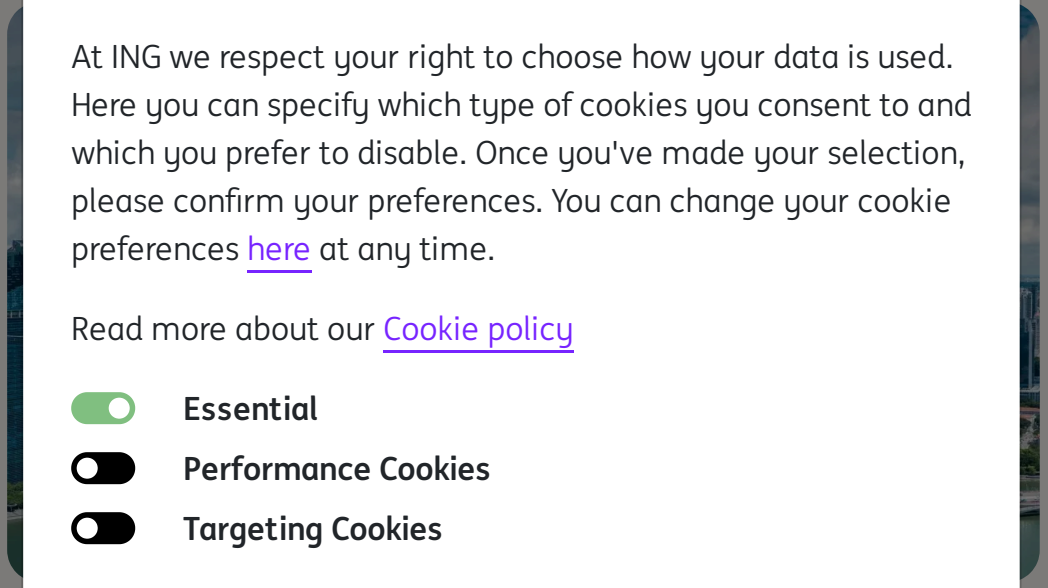

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Policy settings unchanged, Inflation forecast lowered

The Monetary Authority of Singapore (MAS) left its monetary policy settings unchanged today, surprising both us and the market, which had largely anticipated a modest tightening. MAS maintained the pace of appreciation of the SGD NEER policy band at our estimated 1.25%, with no adjustments to the width of the band or its centre.

That said, the overall tone of the statement was less hawkish than expected. MAS lowered its 2026 core inflation forecast to 1.5-2.0%, from 1.5-2.5% previously projected at its July policy review, while noting that headline inflation is likely to average around 2%.

Separately, Singapore's 3Q GDP growth came in stronger than expected at 5.4% year-on-year, underscoring the economy's resilience. Looking ahead, growth is expected to remain steady, supported by robust demand for AI-related products and continued expansion in production capacity, which should sustain strong momentum in the technology sector in the near term.

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inflation outlook has improved, we do not believe risks have disappeared. Domestic inflation could prove stickier if spillovers from the AI-driven investment cycle become broader-based, boosting demand and pushing unit labour costs higher than currently anticipated. Weather-related disruptions could also add to food price pressures. As such, we continue to see the balance of risks to inflation as modestly tilted to the upside.

On growth, MAS acknowledged downside risks, including a larger-than-expected rise in global interest rates or a sharper pullback in AI-related investment. However, it continues to expect the economy

to operate with a positive output gap, suggesting that underlying demand conditions remain supportive. This reinforces MAS's view that inflation pressures, while easing, have not been fully eliminated.

Policy implications

While MAS surprised markets by leaving policy unchanged, we do not view this as a dovish pivot. The combination of resilient growth, a positive output gap, and lingering upside inflation risks suggests that MAS is likely not done with tightening, and tightening in Jan is likely if the risks to inflation materialise.

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As such, even though the SGD NEER is already near the upper end of the policy band, the combination of strong growth, a firm inflation outlook, and lingering tightening expectations should help keep the SGD well-supported relative to its regional peers.

Singapore | Monetary policy | Asia Pacific | Asia | ASEAN

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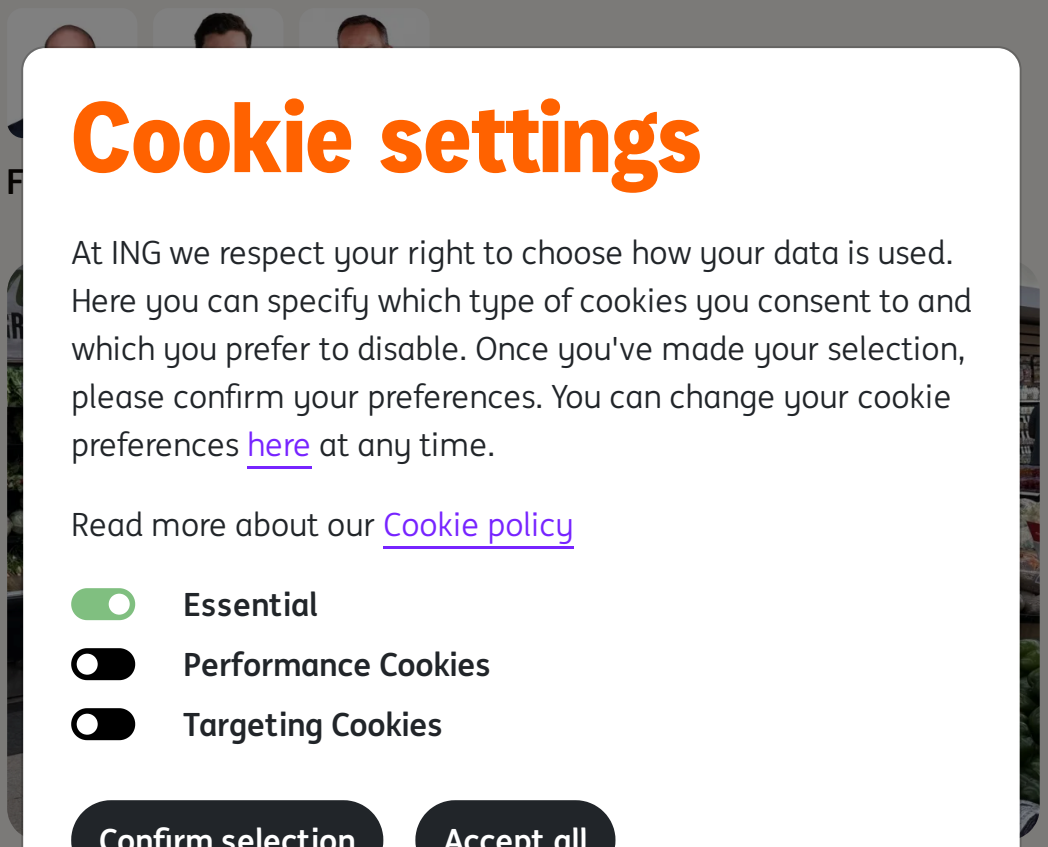
We expect MoM US CPI to be 0.1pp higher than consensus in both headline (0.7%) and core (0.3%) today. While that shouldn't be enough for markets to price in 50%+ chances of an October Fed hike, it can reinforce expectations of further tightening down the road and, by extension, the dollar's floor. EUR/USD may retest recent lows before any recovery



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We have published the October edition of FX Talking: Au revoir, euro bulls, with updated FX forecasts and views.

USD: Upside risks persist

The dollar had a soft session yesterday as stretched positioning and short-term overvaluation coincided with a recovery in global bonds. A dovish comment by the Fed's John Williams added a bit of

weight to the dollar, more by supporting risk sentiment than triggering much dovish repricing in the front end.

Williams said he still expects another hike this year, but there are signs that inflation will slow and he doesn't see further tightening in 2027. That is in line with the median Dot Plot, and Williams is a dovish-leaning voice, but such an explicit pushback against market expectations (three more hikes by June) has been uncommon.

Today, all eyes will be on US inflation data for September. The consensus is for a 0.6% month-on-month acceleration in headline CPI and 0.2% MoM in core. Our macro team is expecting slightly h

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We have a one-month target of 1.13 in EUR/USD, but we could still re-test the 1.1150-1.1160 area in the coming days. As discussed in the USD section above, we see upside risks for USD today as US CPI is released.

Francesco Pesole

SEK: Looking healthier

EUR/SEK has corrected around 1.8% from the 1 October 11.36 high, with a major contribution from French fiscal risk. It's important to note EUR/SEK was starting from a marked (around 2%) short-term

overvaluation at the end of September, and it's now fairly valued – unlike EUR/USD, which is cheap according to our models.

The move is likely welcomed by the Riksbank, which has been keeping a closer eye on the krona's weakness now that inflationary risks are rising. September CPIF inflation didn't scream a rate hike, headline at 1.5% and core at 0.5%, but the Riksbank has clearly signalled it's ready to hike in November, and we see a high bar for a rethink.

A hawkish Riksbank and dovish repricing of ECB expectations have narrowed the two-year EUR/SEK swap spread by nearly 20bp over t

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emerging inflationary risks for the CEE region stemming from energy and food prices. Until now, food prices have offset higher fuel costs in the region, keeping headline inflation in check. This dynamic is expected to shift in the coming months as we see a lagged pass-through of global prices into local inflation.

Market sentiment yesterday was mixed, reflecting a catch-up following Monday's US close alongside natural gas prices hitting new highs. The latter, in particular, suggests that the CEE region cannot enjoy a respite for long. While we saw a rally in FX and rates yesterday, we do not believe the rates rally is justified at this juncture, given the rising risk of higher inflation and the strong

correlation observed recently between interest rates and energy prices. Consequently, we expect these gains to be short-lived.

Frantisek Taborsky

US | Monetary Policy | FX | Federal Reserve | Eurozone | Emerging markets

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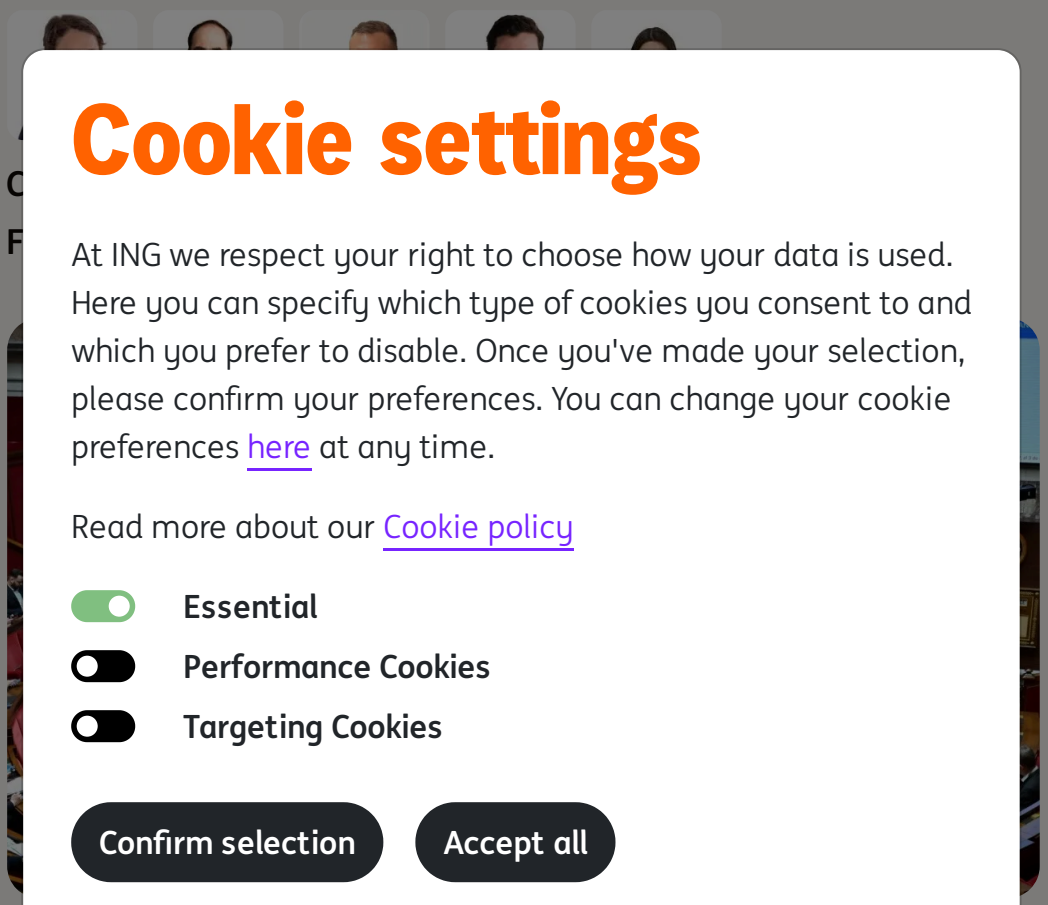
France's fiscal and political challenges have pushed bond spreads to levels not seen since the sovereign debt crisis. Could France become the eurozone's next major fault line? Join ING experts for a discussion of the risks, the policy options, and the implications for the economy, bond markets and the euro. Sign up here



French Prime Minister Sébastien Lecornu during a parliamentary debate on France's budget.

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France's deteriorating public finances and rising political uncertainty are increasingly testing investor confidence. As bond spreads widen to levels last seen during the sovereign debt crisis, questions are growing about how sustainable the country's fiscal path has become. What can the government realistically do to restore credibility, how far could the European Central Bank go to calm markets, and could Christine Lagarde face her own 'whatever it takes' moment? Join ING experts for a discussion of the risks, the

policy options and the implications for the economy, rates and the euro. Click here to sign up.

Details

Date: Thursday 15 October

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 40 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

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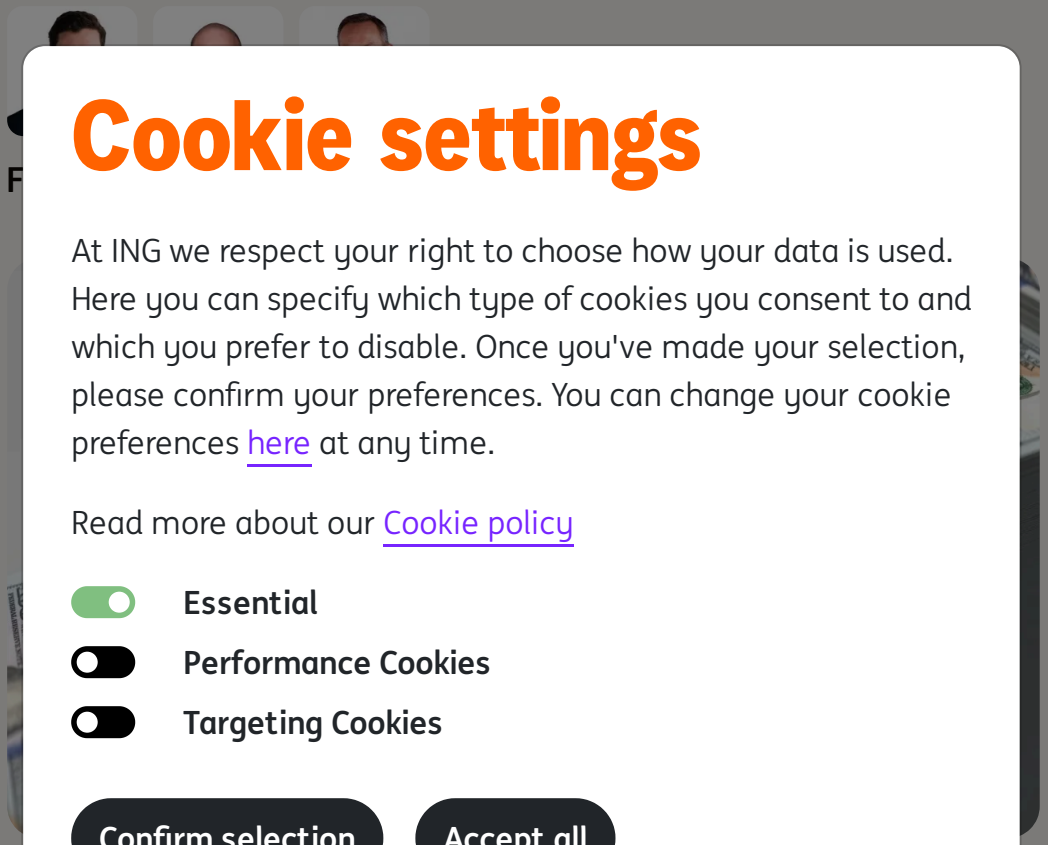
A range of indicators suggests the dollar rally is becoming stretched. But with no clear macro or market catalyst in sight, we see little reason to call for an imminent reversal. We have lowered our EUR forecasts to reflect a more durable fiscal risk premium, while increasing prospects of a BoE hike should keep EUR/GBP under pressure for longer



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We have published the October edition of FX Talking: Au revoir, euro bulls, with updated FX forecasts and views.

USD: Overbought signals not that relevant for now

The start of the week has brought more dollar strength. Firmer oil prices, following increased military activity in the Gulf, have helped keep the dollar on solid footing. Today's calendar is unlikely to be

particularly impactful, with the NFIB survey and home sales figures the main highlights.

That said, several technical indicators point to an increasingly stretched USD rally. Our short-term valuation model shows the dollar overvalued against every G10 currency except GBP, where it's at fair value. On an equally weighted basis, USD is 1.1% overvalued versus G10. EUR, SEK and NZD stand out as particularly cheap, undershooting fair value by 1.5-2.5% and sitting beyond the 1.5 standard deviation threshold.

Positioning tells a similar story. Excluding JPY, where long positions re
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Further ahead, US midterms may represent a somewhat underappreciated USD risk. However, markets have long priced in the possibility of Republicans losing control of Congress, and any precautionary, potentially USD-negative positioning ahead of the vote may not emerge until late October anyway.

Francesco Pesole

EUR: 1.13 is our new year-end target

EUR/USD is around 1.5% undervalued relative to short-term fundamentals. This suggests a moderate build-up in France-related

risk may be becoming entrenched in the euro, but also that the risk premium could expand further if French bonds continue to lose value.

For now, that's not our baseline. While it's early to call for a retightening of the OAT-Bund 10yr gap, expectations that this year's budget can be passed via decree may help contain the spread below 150-160bp.

It's hardly a welcoming environment for EUR bulls, though. Beyond several ECB appearances, including Lagarde's, there are few other domestic drivers for the euro this week. Markets are already fully p
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We have lowered our EUR/GBP forecast and now expect the pair to trade in a 0.84-0.85 range for at least several more months. Idiosyncratic risks surrounding the euro are unlikely to fade anytime soon, and the Bank of England has sent a clear enough signal that it is prepared to hike.

We still think BoE rate expectations are too hawkish for 2027 (100bp by July), but one or two hikes are looking increasingly likely. The dovish shift may have to wait until well into 2027, underpinning GBP strength.

The UK budget on 28 October represents a potential risk for sterling, a
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later today, shifting attention to the breakdown and core reading. We estimate core inflation edged up from 3.0% to 3.1-3.2%, above the CNB's 2.9% forecast. The CNB has long viewed 3.0% as a potential trigger for rate hikes. With headline inflation also above forecast, we expect the CNB to raise rates again in November.

CEE trading was subdued yesterday amid US market closures, leaving our outlook largely unchanged. Rising global energy prices and fresh lows in EUR/USD point to continued pressure on emerging markets today, supporting our bearish view on CEE currencies. The Czech koruna remains the exception: a hawkish inflation

breakdown could provide a catalyst, while we still see 24.250 as fair value given current hawkish rate pricing.

Frantisek Taborsky

FX

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Oil prices remain well supported with plenty of risks still facing Persian Gulf supply. The market, meanwhile, doesn't seem to be buying the Russia-Ukraine energy ceasefire

Warren Patterson and Ewa Manthey

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announcement of an energy ceasefire between Russia and Ukraine was short-lived. That goes, too, for the US-Russia diesel export deal. ICE Brent settled 1.8% higher, just shy of $107/bbl yesterday — the highest close since mid-September. Clearly, the market is more concerned over recent developments in the Middle East, with Houthi attacks on Saudi Arabia and the lingering risks to oil flows from the Persian Gulf. In addition, there's considerable scepticism over the Russia-Ukraine energy ceasefire, particularly with reports that Russia has hit Ukrainian energy targets since Trump announced it. While diesel initially saw some weakness following the US-Russia

deal, strength has returned. The volumes suggested are doing little to offset the tightness in the global middle distillate market.

The Persian Gulf could see further bypass volumes in a relatively short time period. The Saudi Energy Minister said that the country is looking to expand its pipeline export capacity to 10m b/d, up from a current 7m b/d. About 1.2m b/d of this expansion could come from converting a gas pipeline to crude and could be available to transport oil within 7-8 weeks. Expansion beyond this would take more time, possibly as much as 3 years. Shipping larger volumes from the Red Sea would also require further investment in loading capacity at ports.

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countries in an attempt to hit storage targets. Germany is only adding additional support to European gas prices. EU gas storage is just shy of 75% full, below the 83% seen at the same stage last year and also below the 5-year average of 89%.

Metals - Tight supplies drive copper close to record

LME copper rose for a second consecutive session, trading near record highs. Supply concerns are adding support following a fatal avalanche at Chile's El Teniente mine on Sunday. It led to the suspension of operations in affected areas. While the open pit at

the mine remains shut, the rest of the mine's operations are operating normally. The open pit mine accounts for less than 10% of El Teniente's output. Meanwhile, Chinese demand appears well supported, with the Yangshan copper premium remaining near $130/t, close to a four-year-high.

TTF | Strait of Hormuz | Saudi Arabia | Russia-Ukraine | Persian Gulf | LNG | Copper

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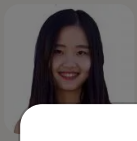
As climate risks have a larger impact on supply chains, the need to finance resilience-building initiatives is increasing. Banks have an important role to play by expanding their financing toolkit, while companies with proactive resilience strategies can gain greater access to capital



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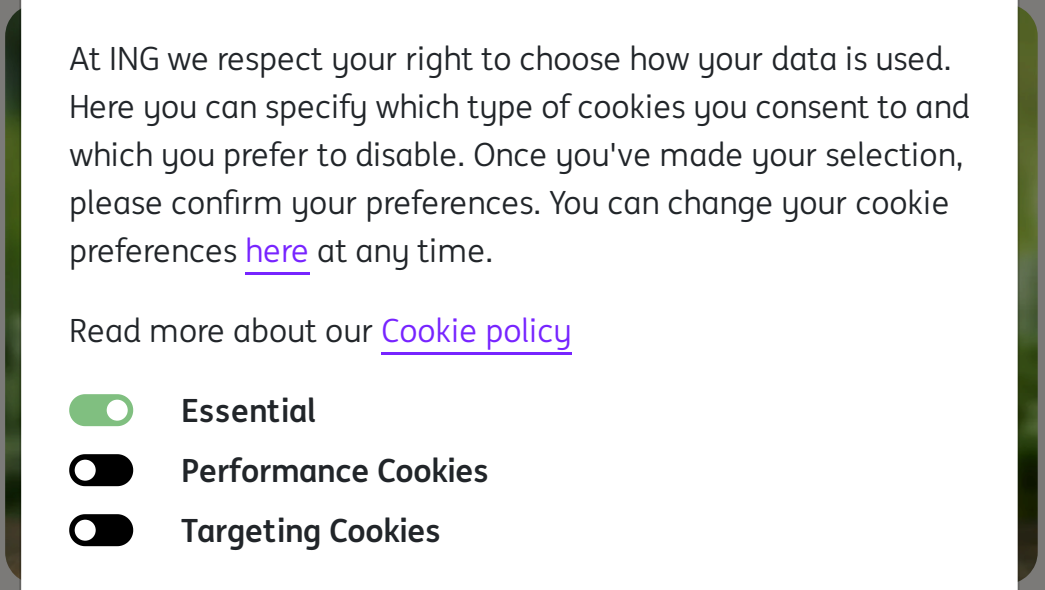

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Climate and weather-related shocks are a growing source of supply chain risk. In August, the Rhine River's water levels hit a record low since 1880, hindering trade flows across Europe. In 2024, Hurricane Helene affected global tech and medical supply chains by flooding key ultra-pure quartz production facilities in the US. The upcoming "very strong" El Niño could substantially disrupt temperature and precipitation patterns across the globe next year, putting, for example, food production and trade at risk.

These events underscore the need to build supply chain resilience. Extreme weather is now a more impactful part of the supply chain

risk landscape alongside geopolitics and other risks.

Yet significant gaps remain. First, while the awareness of supply chain climate risks is rising, many companies have yet to acknowledge their financial materiality. Second, the uptake of financing solutions has not kept pace with supply chain resilience needs, despite trade finance supporting around 90% of global trade. This leaves financial institutions well positioned to expand financing solutions that support corporate supply chain resilience. Below is how they can do it.

Expanding banks' toolkit for supply chain r

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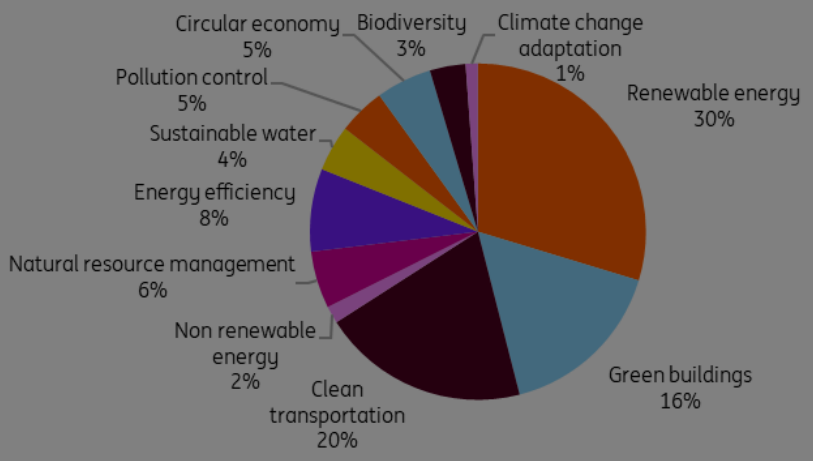
Global green bond use-of-proceeds allocation, January-August 2026



Source: ING Research, BloombergNEF

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- The traditional supply chain and trade finance solutions can be tailored to integrate resilience objectives. For example, guarantees can support cross-border trade in climate-resilient goods, while preferential financing terms can reward companies that actively manage supply chain risks. By incorporating supply chain risk assessments into financing programmes and linking working capital solutions to supplier resilience, these products can help companies better withstand disruptions and support long-term growth.

- **Climate and resilience tech finance**

- Banks can provide financing and advisory services to help scale and deploy technologies that strengthen supply chain resilience. Examples include water management technologies, regenerative agriculture, and indoor farming. These solutions can improve the upstream supply chains of industries such as food, beverage, and hospitality. As interest in resilience technologies grows, financial institutions are increasingly developing tailored financing solutions to support their adoption.

- **Blended finance**
  - Some resilience technologies, projects, and markets may

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As banks work to expand their financing offerings to enhance supply chain resilience, companies would benefit from doing their part as well. My colleague Rico Luman has written about some best practices companies can adopt in their day-to-day operations. These include building up inventory of high-risk supply materials, diversifying suppliers and transport routes, and improving supply chain visibility. Financing solutions that link resilience to working capital, for example, can help companies strengthen these efforts.

Companies can also look beyond day-to-day operations and invest in longer-term resilience initiatives, such as climate-resilient materials, water management technologies, and other adaptation s
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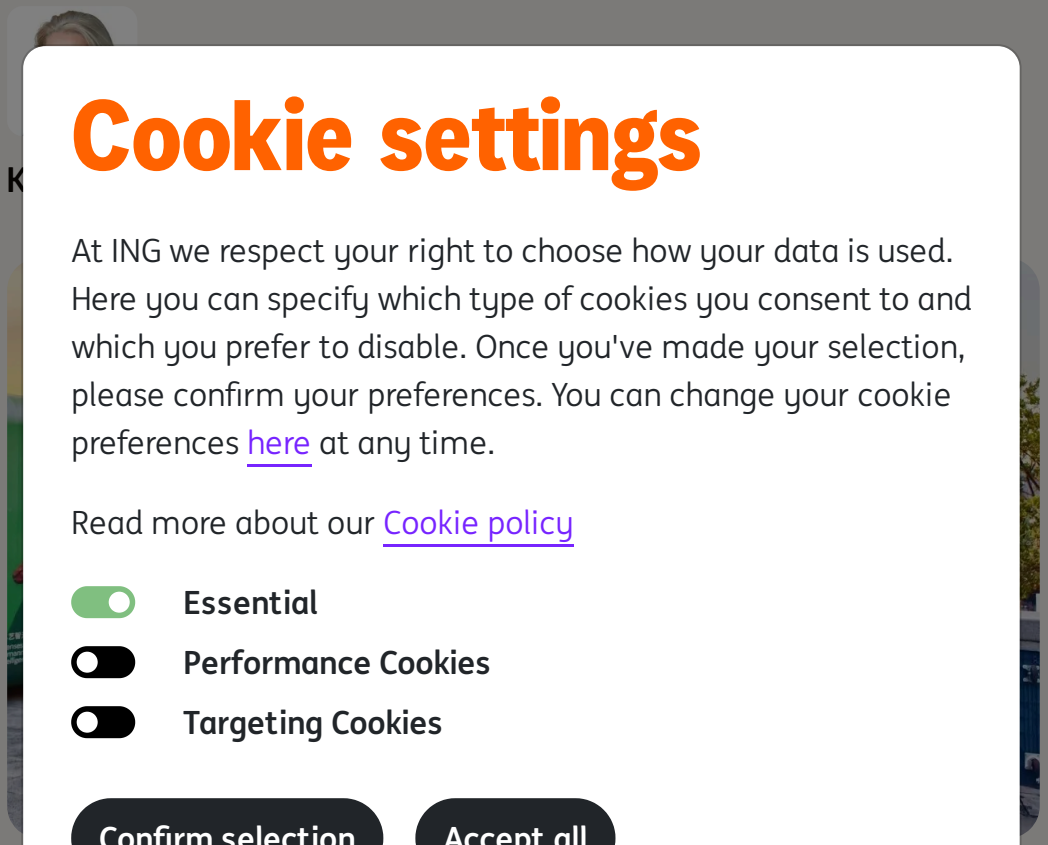
Agentic commerce, where autonomous AI agents independently select and purchase products on behalf of consumers, is forcing retailers to rethink their role. As AI takes over more of the buying process, physical stores are evolving from a sales channel into a destination for advice, service, experience, and omnichannel support



how consumers shop

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Agentic commerce fundamentally changes the buying process

Retail is entering a new phase of digital disruption. E-commerce has already transformed *where* consumers shop; agentic commerce is set to change *how* they shop. Autonomous artificial intelligence agents can search, compare and purchase products on behalf of consumers, shifting shopping from an active task to an increasingly automated background process.

Agentic commerce goes beyond AI assistants and comparison websites

Key differences between agentic commerce, AI assistants (such as ChatGPT and Gemini) and comparison websites

	Agentic commerce	AI assistants	Comparison websites
Role in customer journey	Actively manages parts of the customer journey	Provides information and recommendations	Helps consumers compare products and prices
Degree of autonomy	High: can execute tasks independently	Low to medium: provides recommendations	None
Decision-making role	Makes decisions	Decisions remain with	Decisions remain with

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optimal time to buy.

Adoption is likely to be slower for luxury, trend-sensitive and experience-driven products. In these categories, inspiration, emotion, and personal preference remain central to the purchasing decision, making consumers less inclined to relinquish control. AI agents can assist by pre-selecting products that match predefined preferences, but final purchasing decisions are likely to remain firmly in the hands of the consumer.

Consumer electronics and personal care lead the adoption of agentic commerce

Within non-food retail, agentic commerce appears particularly well suited to consumer electronics and personal care. Both sectors are characterised by a high degree of product standardisation and a large share of repeat purchases, making them ideal candidates for AI-driven purchasing.

In consumer electronics, purchasing decisions are often based on objective and easily comparable criteria, including price, technical specifications, and availability. This makes products such as t
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Product categories most and least suited to agentic commerce

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Segment	Suitable for agentic commerce	Products most suited	Products least suited
Consumer electronics	High	Standardised products with clearly measurable specifications.	Hobby-related products and more complex products that require expert advice
Personal care	Medium to high	Routine and repeat purchases	New product launches, fragrances and highly personal products
Fashion	Medium	Basic apparel (t-shirts and socks)	Trend-driven and luxury fashion items
Home furnishings	Medium	Functional furniture, replacement purchases, and products with clearly measurable features.	Trend-driven products, customised products, and decorative items

Source: ING Research

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Chinese platforms lead adoption

Agentic commerce creates the greatest opportunities for large global marketplaces and technology companies. These players combine vast product assortments with the scale, data and infrastructure needed to deploy AI agents effectively. Their integrated ecosystems, including payment solutions, logistics networks, and data platforms, enable them to integrate AI agents into their business operations faster and more effectively.

Chinese platforms such as Alibaba and JD.com currently lead the way, with AI agents already deeply integrated into their respective platform networks. These agents can not only provide product

recommendations but also complete purchases autonomously. Meanwhile, US technology companies including Amazon, Google, Meta, OpenAI and Anthropic are investing heavily in the development and rollout of AI agents, intensifying the global race for leadership in this emerging market.

European players are structurally lagging behind their American and Chinese competitors. Stricter regulation and less integrated platform networks limit their ability to bundle scale, data and services. While Zalando is among Europe's frontrunners in AI-powered retail, its applications are currently focused on product discovery, comparison, and selection. Fully autonomous p

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their role is changing

How will the role of the physical store evolve in an AI-driven retail landscape?

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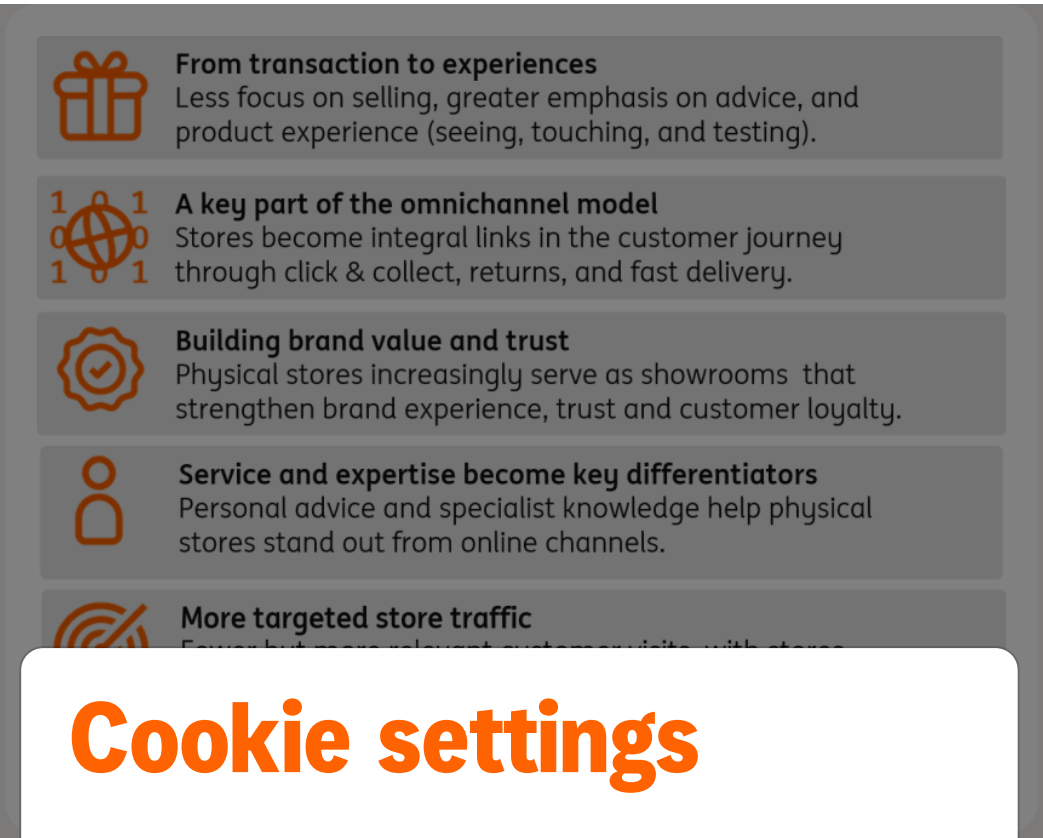

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Retailers that successfully integrate their physical and digital channels, define clear roles for their stores, and deploy technology strategically can strengthen their position within the customer journey. In a future shaped by AI-driven commerce, their role will increasingly centre on adding value where automation cannot.

Retail | Consumption | AI

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Crude tanker rates have hit all-time highs amid the prolonged Iran war and Strait of Hormuz disruption. Restructured oil flows and a rush for capacity to handle oil transport operating under military protection have driven rates sharply higher, adding further pressure to fuel prices alongside strong refinery margins

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Tanker shipping thrives in risky waters amid a continued capacity squeeze

Oil tanker markets sit at the centre of geopolitical turmoil, and this year that has translated into record-breaking freight rates as the conflict in the Middle East drags on. Tankers have been caught up in sanctions regimes and repeatedly targeted in key shipping lanes, including the Strait of Hormuz, Bab al-Mandeb and the Gulf of Aden.

At the same time, demand for tanker capacity has surged as traders seek alternative routes and sources of supply, including

increased shipments from the US. The opening of a protected corridor through Omani waters has enabled additional crude exports and vessel movements, but has also placed further strain on an already stretched market. Shuttle services now operate around the Strait of Hormuz, with under the radar activity and ship-to-ship transfers taking place outside the chokepoint.

The conflict and tanker seizures in the Persian Gulf erupted at a time when the market was already facing a shortage of capacity. New deliveries of crude carriers slowed sharply following a record-low order book in 2022-23, while an increasing number of older and smaller vessels joined Russia's shadow fleet, further reducing the p

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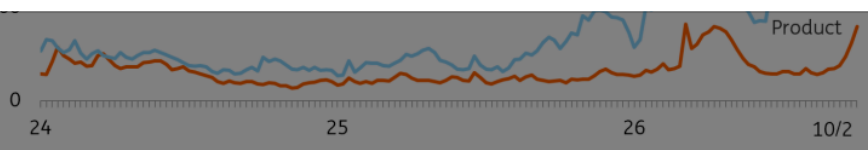

Source: Clarksons, ING Research

Crude tanker earnings rose tenfold on rush for capacity

The capacity squeeze, combined with operating in risky war zones and facing highly elevated insurance premiums, has sent tanker rates soaring. We have seen previous surges in this volatile market,

such as in 2022 after sanctions were placed on Russia, but this spike is beyond levels ever seen before.

Average global crude vessel earnings exceeded an unprecedented level of $500,000 per day, 10 times the 2025 average, in early October. For Suezmax tankers and very large crude carriers (VLCCs, with a maximum capacity of 2m barrels) alone, rates surged even beyond that. Crude shipments from Ras Tanura in Saudi Arabia to Rotterdam made up about $2/bbl in 2025; in September, this surged beyond $35. Combined with high refinery margins (the current crack spread of diesel in Europe is about 2.5 times the 2025 average), this could add over $0.50 to the base price of a litre of d

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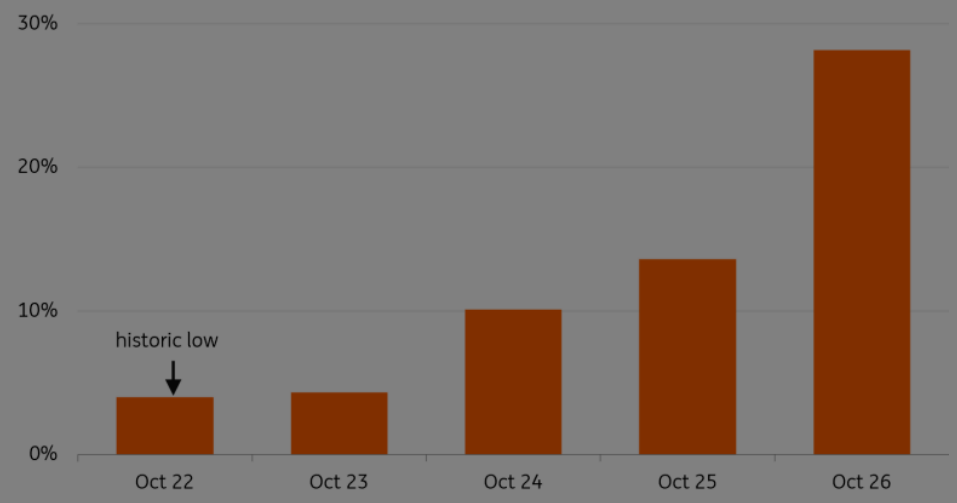

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delivered in 2028-29, likely after the current boom ends. It's all about geopolitics and how the Middle East conflict evolves, but tanker markets could still see a solid 2027.

Tanker | Shipping | Oil prices | Oil demand | Hormuz | Fuel | Diesel

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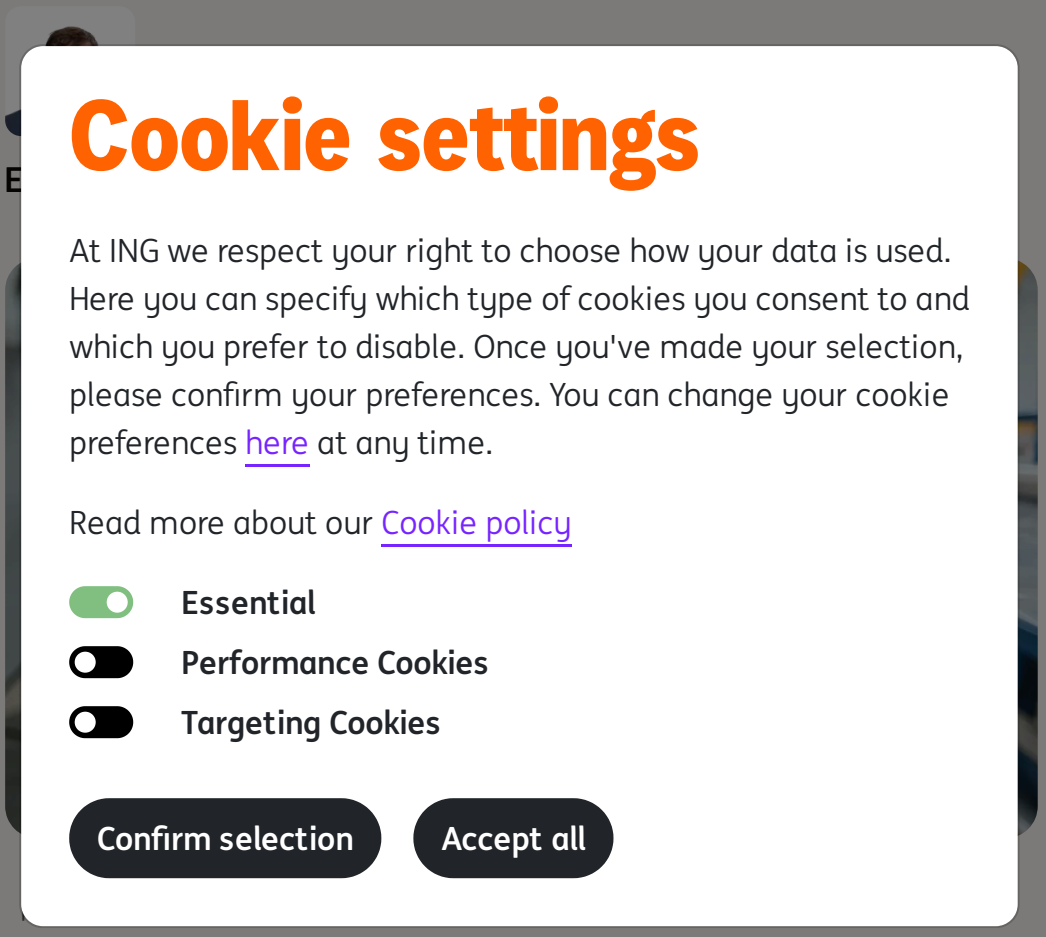
The Iran war has hit EU chemicals less severely than feared, with production, capacity utilisation and margins improving in recent months. But renewed import competition will cloud the outlook once Gulf oil and gas supplies to Asia recover. To reverse the industry's long-term decline, producers and policymakers must accelerate the green transition



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Boost from softer Asian competition

The Iran war has hit European chemical producers less severely than feared. After the first tariff shock in early 2025, demand initially rose as customers brought forward purchases amid supply chain uncertainty. The main boost, however, came from weaker imports. Damage to Middle Eastern plants and Strait of Hormuz blockades sharply reduced production and exports. About a quarter of regional polyethylene capacity was damaged, with repairs likely to take months.

Elsewhere in Asia, producers faced prolonged feedstock and energy shortages. Asia depends far more on Gulf oil, gas and raw materials than the EU does. Before the conflict, Asian countries sourced 40-90% of their oil from the region, compared with around 20% for the EU.

Earnings improve strongly, but production returns to previous level

Reduced competition and tighter supply conditions drove three consecutive months of growth in EU chemical production from February to April, while sharp price rises provided a significant b d a t B e M t r G

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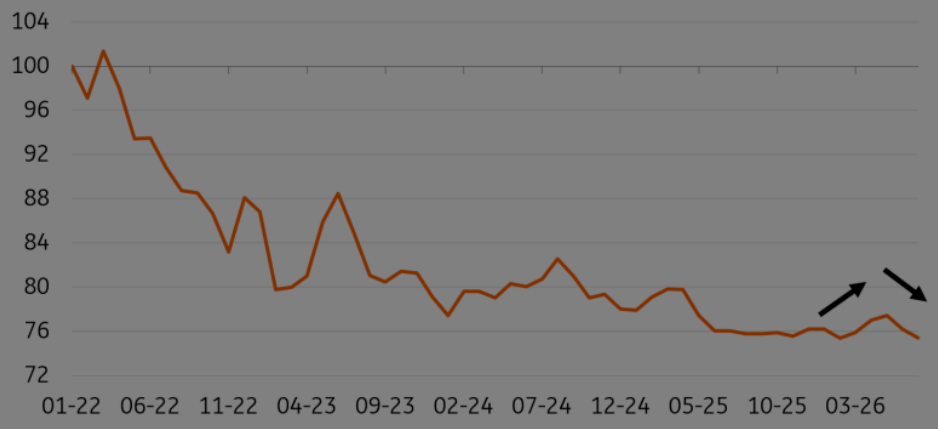

*seasonally adjusted production, 2-month moving average

Source: Eurostat

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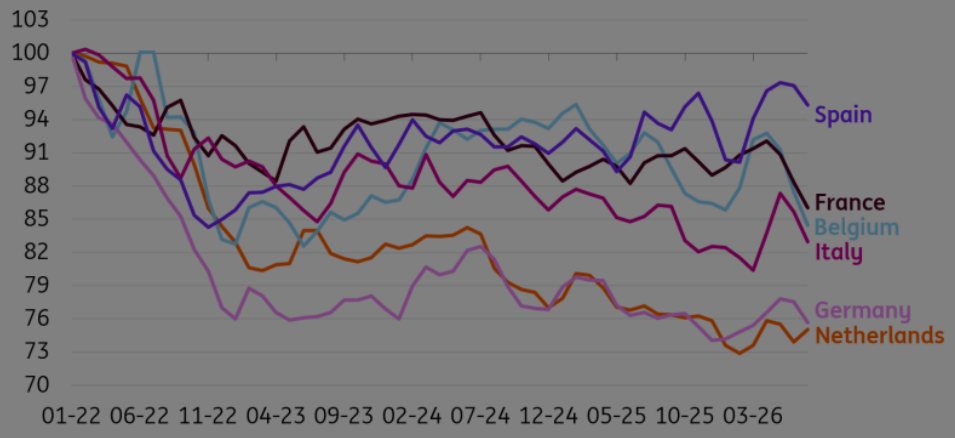
recovery funds have helped accelerate the expansion of renewable power capacity.

Spain's chemical industry has held up relatively well in recent years

Monthly production level of the chemical industry, January 2022 = 100*



*seasonally adjusted, 2-month moving average

Source: Eurostat

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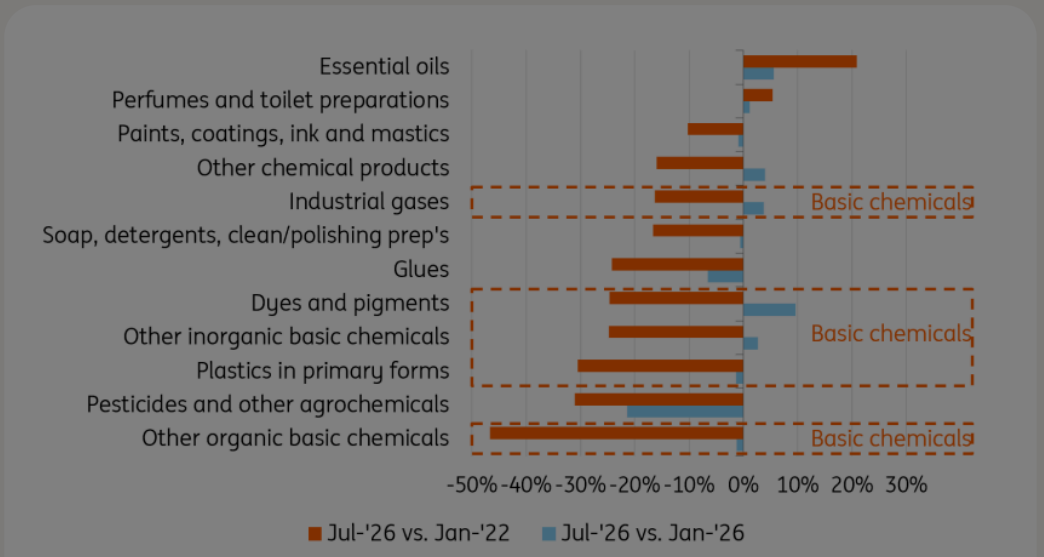
Consumer chemicals, including oils, extracts, perfumes and toiletries, are the only segments to have grown both since early 2022 and since the start of this year. These downstream products are less exposed to volatile energy prices and generate more value through innovation. Speciality chemicals such as paints, coatings and cleaning products sit between the two: output remains structurally weak but has declined less than in basic chemicals.

Basic chemicals have been the hardest hit in recent years

Output volume mutation per EU chemical subsector*



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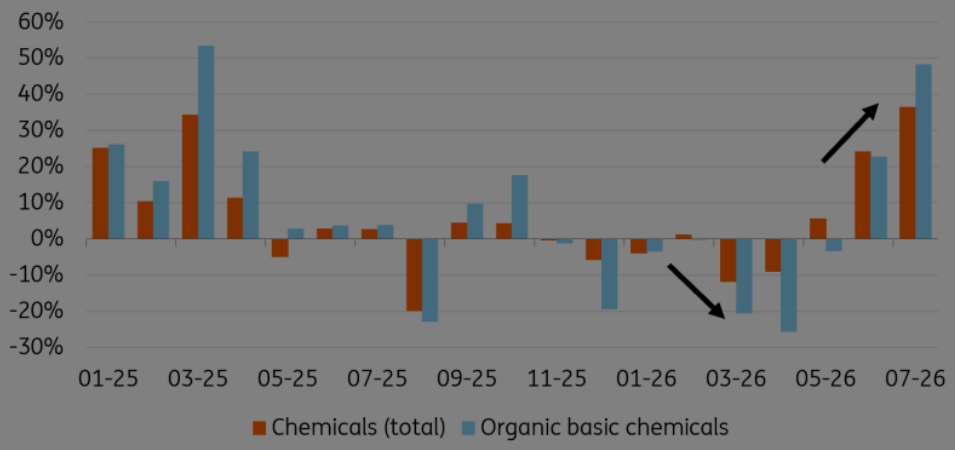
Rebound of organics setting the tone for chemical imports from China

EU imports of chemical products from China per month, % YoY



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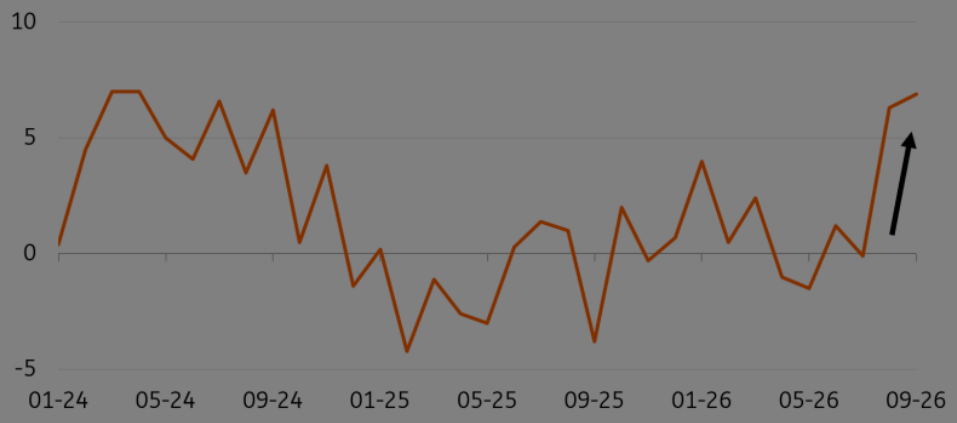
shipments through Hormuz have recently increased to almost 80% of pre-war levels.

Production expectations improve again

Production expectations for the months ahead, EU chemical industry



Source: European Commission

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a limited recovery in end markets. Higher energy prices squeeze consumer purchasing power, hitting consumer chemicals hardest. Speciality chemicals have better prospects as investment rises and the AI boom lifts demand for products and materials used in:

- Sustainability and electrification, including battery materials, chemical catalysts, flame retardants, lightweight resins and composites.
- Defence equipment, including reinforced plastic fibres, advanced coatings and lubricants.

- Semiconductors, including photosensitive polymers and ultra-pure speciality chemicals and gases.

Higher energy and feedstock costs will bite more gradually

Chemical prices closely track energy costs, so expensive and volatile energy will also make them higher and more volatile. Yet the steepest rise in selling prices appears to be over. Although most producers expected to raise prices in August and September, the expectations index was stable just below its long-term average – a far milder increase than after the Iran war began. This suggests s
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Selling price expectations for the months ahead, EU chemical industry

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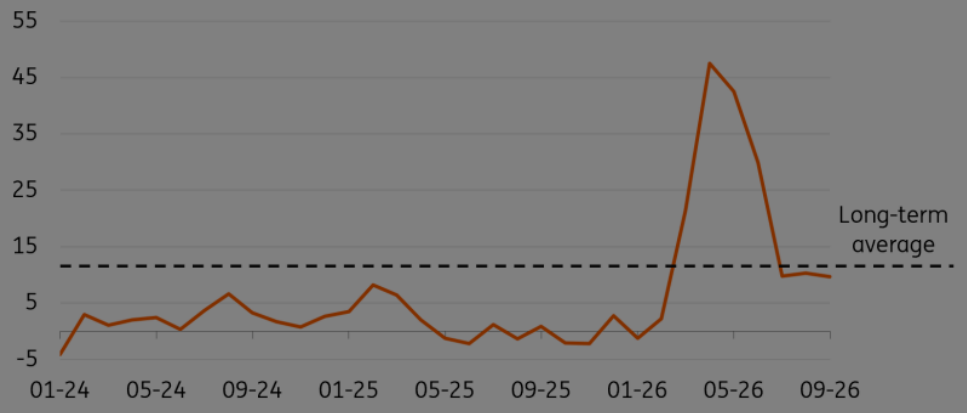

Source: European Commission

Structural problems will resurface

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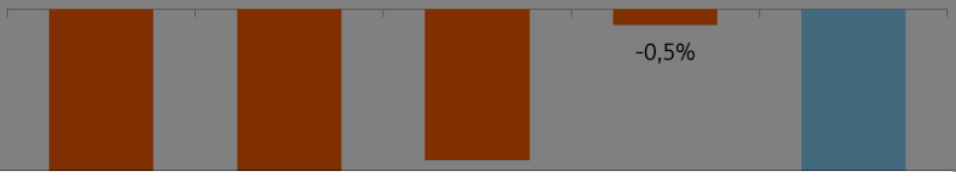
Restructuring wave is not over

Despite somewhat better market conditions this year, restructuring is likely to continue. Most major players have announced strategic interventions in recent years. Earlier this year, SABIC sold its European petrochemical operations, while Evonik is implementing a multi-year plan of divestments, closures and reorganisations. Ineos plans to close three UK chemical plants, and Shell wants to sell its entire chemicals division, including a major European cluster. European chemical capacity shrank by 30 million tonnes, or 7%, between 2022 and 2026. Announced plant closures increased sixfold over this period, while investment fell sharply. Petrochemical

capacity was hit hardest, down 11%, whereas specialty chemicals held up best, declining just 0.5%.

European production capacity structurally declining

% decline in European chemical production capacity, 2022-2025*



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electricity prices. In July 2026, the European Commission proposed extending the emissions-reduction pathway, modestly easing the cost increase, alongside more financial support for clean-technology investment.

CBAM offers only partial protection for EU chemicals

Fertilisers and hydrogen are covered by the CBAM levy, which protects against imports not subject to carbon costs. In return, free allowances for CBAM products will be phased out

faster, reaching zero by 2034. This will widen the cost gap between efficient, electrified installations and older fossil-based plants. Besides the faster phase-out, CBAM has several drawbacks for chemical companies:

- The levy can be circumvented when a chemical feedstock is covered by CBAM but a product containing it is not. This may encourage imports of finished or intermediate products from outside the EU. The European Commission's proposed expansion mainly targets downstream steel and aluminium products, not the wider chemical value chain.

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start Project One in Antwerp this year, introducing a modern ethylene cracker that initially emits less than half as much CO_2 as the EU's most efficient cracker and becomes climate-neutral within ten years.

Spain's Repsol aims to decarbonise its Tarragona complex through circular chemicals and methanol, large-scale green hydrogen and offshore CO_2 storage. In September, fertiliser producer Yara began shipping liquid CO_2 from Sluiskil in the Netherlands to Norway for the permanent underground storage of 800,000 tonnes of CO_2 a

year by Northern Lights, a partnership between Equinor, Shell and TotalEnergies.

Such projects can quickly cost hundreds of millions of euros a year. The €5bn Project One has contributed to the doubling of INEOS's debt since 2021, while the group suffered a loss of more than €500m in 2025. Chemicals are therefore widely seen as a hard-to-abate sector. Governments often co-invest, but poor operating conditions, inadequate green infrastructure and weak demand for sustainable products still obstruct large-scale decarbonisation.

Infrastructure and decarbonisation i

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dependencies therefore offers the sector welcome support.

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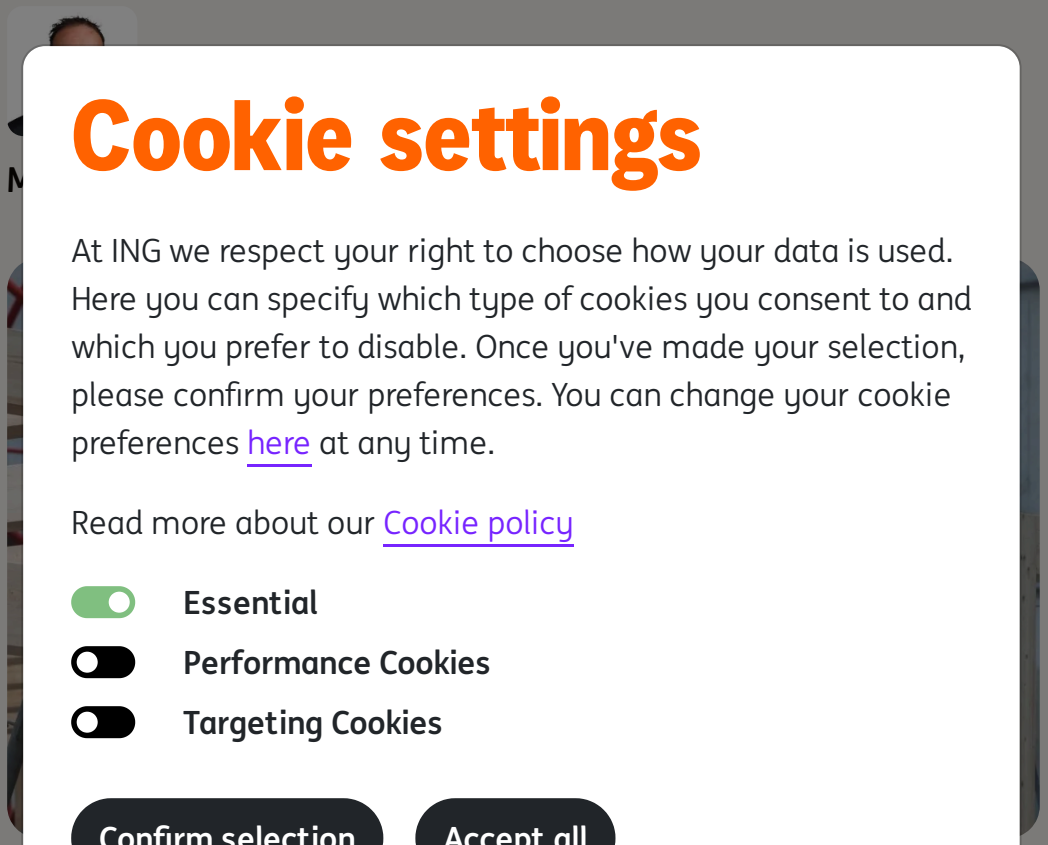
Europe's construction volumes will keep growing but remain subdued. Infrastructure investment and Germany's gradual rebound are drivers, while higher financing costs and geopolitical risks cap momentum. Housing permits have stabilised, signalling that a stronger residential recovery will have to wait



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Low growth returns in 2026

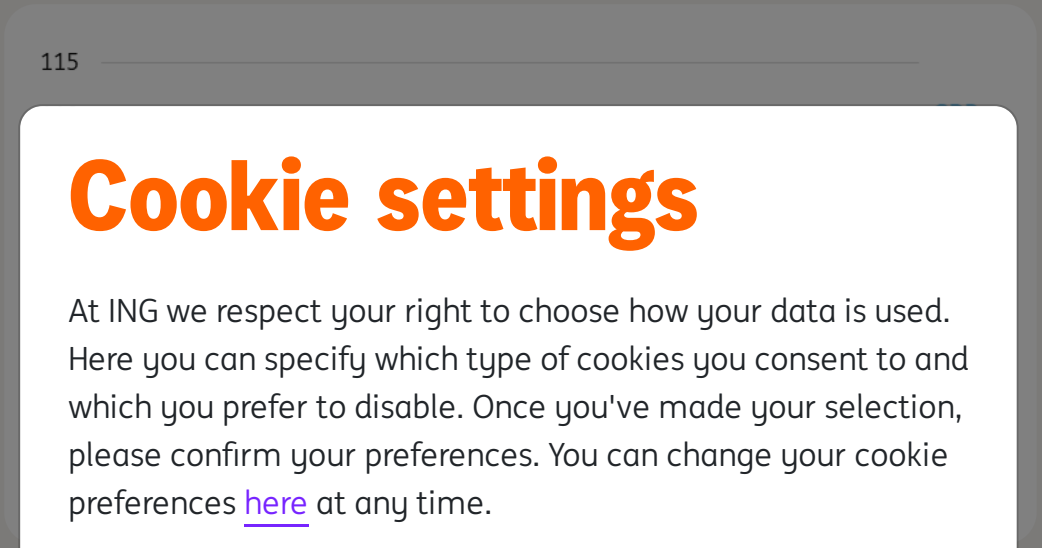
We expect EU construction output to grow by a marginal 0.5% in 2026, following a 1.8% decline in 2024 and 2.3% growth in 2025. More broadly, EU GDP has outpaced construction output in recent years, showing that the construction sector has lagged the broader economy.

The positive signals seen in early 2025 have since weakened. By September, the EU construction confidence indicator had stopped improving and had fallen below its level a year earlier. Nevertheless,

the EU economy has remained surprisingly resilient despite higher energy prices, rising interest rates and greater geopolitical uncertainty. Increased defence and infrastructure spending, together with Germany's cyclical rebound, is partly offsetting the headwinds.

EU construction lags GDP growth

Volumes, Index 2018 Q2 = 100



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and sustainability projects, while infrastructure investment, supported by EU funds and spending on energy and digital networks, has provided an additional offset.

EU construction forecast

Volume output construction sector, % YoY

	2024	2025	2026*	2027*
Austria	-2.0%	-0.1%	0.0%	1.0%
Belgium	-1.2%	0.2%	-0.5%	0.5%
France	-3.9%	-3.5%	-2.5%	-1.5%
Germany	-3.2%	-1.8%	1.0%	2.0%
Netherlands	-1.1%	1.9%	0.0%	1.0%
Poland	-7.7%	0.0%	0.0%	2.0%
Spain	2.6%	4.0%	3.0%	2.0%
European Union	**-1.8%**	**2.3%**	**0.5%**	**1.0%**

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contraction in 2026.

Spain's construction sector is still recovering. After losing more than 25% of its output between 2019 and 2022, the market began to rebound in 2023. We forecast growth of 3% in 2026. Building permits have risen sharply in recent years, although momentum is easing. Contractor confidence is easing from a very high level in recent months. Even so, robust GDP growth should support construction this year and next.

For the **Netherlands**, we expect construction output to stabilise in 2026 after a weak first half, followed by modest growth in 2027.

Housing construction should gradually recover as the recent rise in building permits feeds through into starts and completions, although projects are often delayed and the recovery will remain limited. Infrastructure remains an important driver.

Poland's construction sector had a volatile start to 2026, with output falling by 6.8% in the first quarter due to the cold winter before rebounding by 8% in the second. Building permits are rising slightly, confidence remains stable and robust GDP growth of 3.4% should support demand. The resumption of EU funding is also expected to support infrastructure investment. Nevertheless, we expect construction output to remain flat in 2026, largely because o

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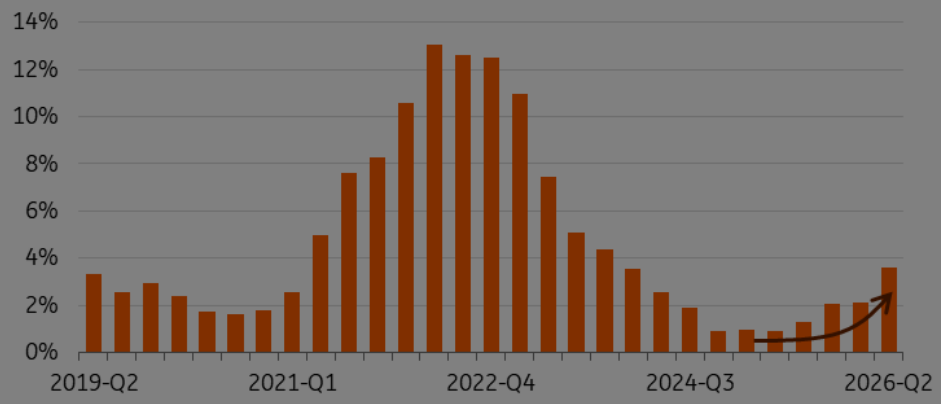
countries without them, such as Spain, face greater exposure. Private contracts offer even less protection, increasing the risk of disputes, delays and halted projects.

Building costs higher but increases remain benign

Development building prices EU-27, new residential buildings, quarterly yoy



Source: Eurostat, ING Research

Low water levels are delaying deliveries

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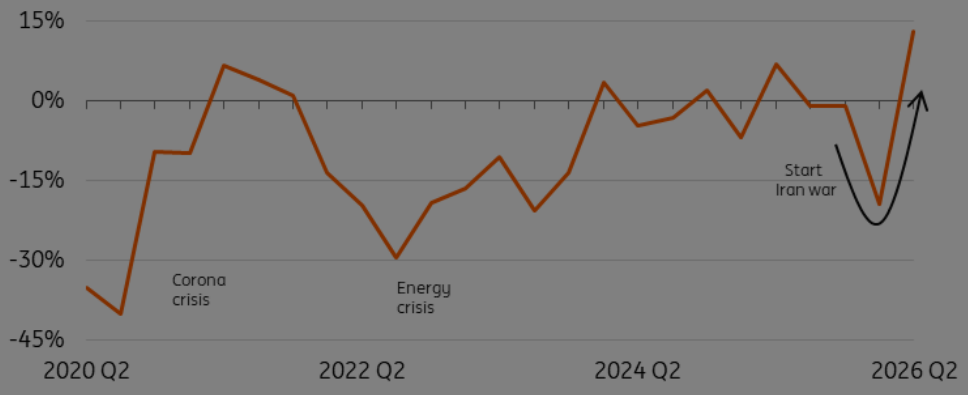
during the 2022 energy crisis. Confidence recovered, and second-quarter profit expectations exceeded pre-war levels. This rebound may prove excessive, as energy prices have since begun rising again.

Profit expectations are up again

Expectations profit margins European constructors, Balance of companies that expect an increase-/-decrease of the profit margin in 12-months



Source: RICS, ING Research

Residential growth stalls

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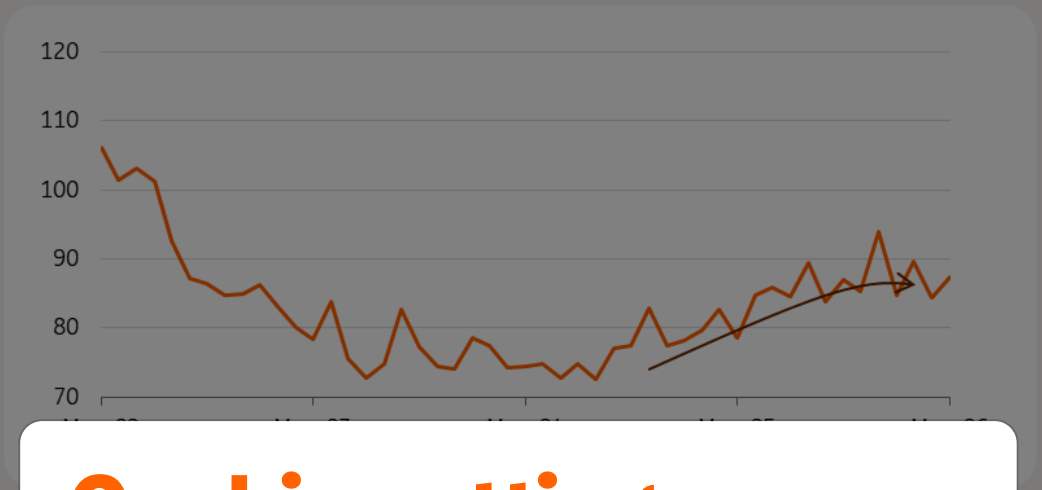
construction costs has so far remained modest.

One possible offset is that buyers may prefer new homes because they are generally more energy-efficient than existing properties. However, the stabilisation in permit issuance suggests that this advantage is not strong enough to drive further growth.

The number of permits issued for new houses is an important indicator of future volumes in the residential sector. Typically, it takes between one and two years from the granting of a permit to the completion of a new home.

Recovery of issued building permits slows

EU Building permits new dwellings, SA (index 2021=100



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Dutch permits for new homes surged in the second quarter of 2026. Statistics Netherlands has since paused publication of recent data, saying the increase appears implausibly large and may reflect legislative changes related to grid congestion. Limited grid capacity continues to delay new connections and construction projects, while nitrogen restrictions cause further setbacks. The government's plan to reduce nitrogen emissions of peak polluters and make way for other business activities is now under parliamentary review.

Spanish housing permits nearly tripled between 2020 and 2024, largely reflecting a rebound from the exceptionally low pre-

pandemic era base and a recovery in housing demand. Growth now appears to have peaked, with permits falling by almost 2% in the second quarter of 2026. The government's PERTE programme, co-financed through European recovery funds, aims to speed up and reduce the cost of housing construction through prefabrication and modular methods, but its impact will take time.

Business case still difficult

Housing shortages remain severe in many European cities, but new housing projects are more difficult to make commercially viable in some countries than in others. Although permit issuance has increased in many markets, construction costs remain high.

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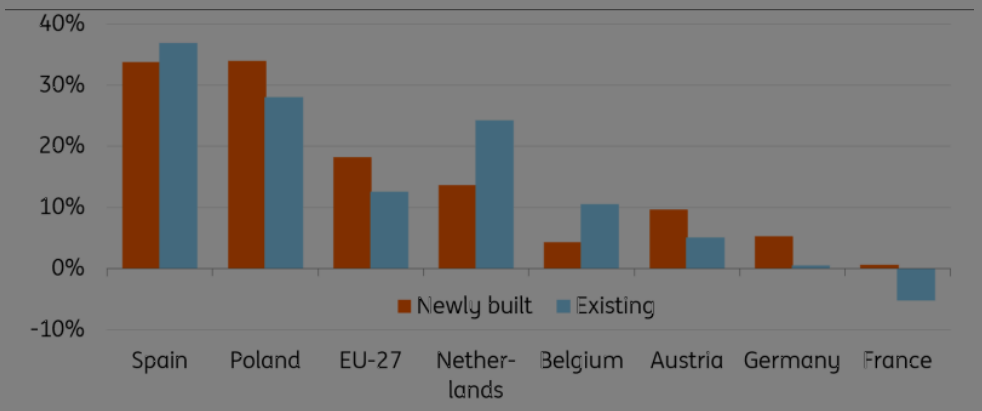
House price developments 2026 Q2 compared to 2023 Q2



Source: Eurostat, ING Research

Infrastructure growth continues

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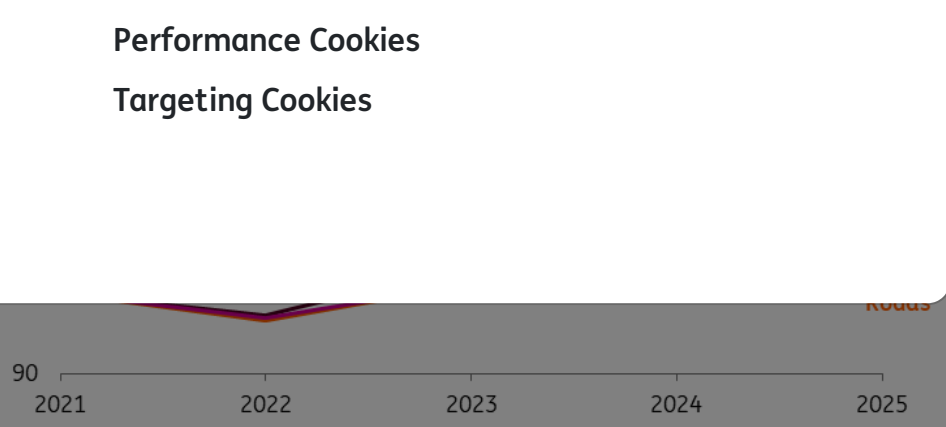

Source: Euroconstruct, ING Research

The EU **energy construction sector** has been growing since 2022, driven by investments in renewable energy and electricity grid expansion. Growth is expected to remain strong as many countries in the EU continue to upgrade power infrastructure to support the energy transition and rising electricity demand.

Railway construction is showing strong growth. Across the EU, activity is being supported by both network renewals and major cross-border projects. Examples include Rail Baltica, which will connect the Baltic States with Poland, the Lyon–Turin rail link between France and Italy and high-speed rail investment in Spain, Portugal and Italy. Together, these projects illustrate the EU's drive to expand rail capacity.

Telecommunications construction has grown modestly in recent years, supported by fibre-optic expansion and continued investment in 5G networks across the EU. Although coverage is improving, progress varies widely between member states and

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